CLEAN ENERGY IMPACT
RIDER CEI

AVAILABILITY

This Rider provides eligible Duke Energy Progress, LLC (the "Company") customers the option to purchase Clean Energy Environmental Attributes ("CEEAs") from Company-Owned, or from Purchase Power Agreements with, Renewable Energy Resources under the Company's Clean Energy Impact Program (the "Program"). This Rider is available on a voluntary first-come, first-served basis to residential and nonresidential customers receiving concurrent service from the Company who contract for a block(s) of Clean Energy Environmental Attributes (which are comprised of carbon emission reduction attributes and North Carolina-defined Renewable Energy Certificates ("RECs") associated with Renewable Energy Resources). The maximum number of customers served under this Rider shall be determined by the maximum number of blocks of Clean Energy Environmental Attributes available for purchase under the Program through the Rider at any given time. This Rider is not available for temporary service or for resale service. This Rider and the Program shall remain open to eligible customers pursuant to the Program's terms and conditions, as approved by the Commission; however, if a legal, regulatory, or other requirement warrants-in the Company's discretion-the retention of CEEAs (or any portion thereof) by the Company, then the Company may, at any time, limit customers' participation in the Program or terminate the Program.

GENERAL PROVISIONS

Each customer may contract with the Company for the purchase of a block of CEEAs to be billed to the customer monthly. The customer may change the number of blocks of CEEAs contracted for once during the contract year, unless otherwise authorized by the Company.

Available CEEAs will be based on the expected kilowatt-hour ("kWh") production coming from Renewable Energy Resources. The actual amount of energy used by the customer during any given month may be more or less than the number of blocks of Clean Energy Environmental Attributes for which the customer has contracted. Energy associated with Clean Energy Environmental Attributes displaces energy that often would have otherwise been produced from traditional non-renewable generating facilities. The CEEAs from the Program will be applied by the Company towards the Company's compliance with the Carbon Plan and will not constitute procurements over-and-above the Company's compliance obligations under the Carbon Plan.

DEFINITIONS

Clean Energy Environmental Attributes: For the purpose of this Rider, CEEAs shall include RECs and the carbon-emission reduction attributes associated with the Renewable Energy Resources. The REC, as defined in N.C. Gen. Stat. Sec. 62-133.8(a)(6), is the renewable nature of the energy delivered from the Renewable Energy Resource and is equal to 1,000 kWh produced from a renewable resource.

Renewable Energy Resources: For the purposes of this Rider, Renewable Energy Resources, as defined in N.C. Gen. Stat. Sec. 62-133.8(a)(8), shall include available MWs, depending upon availability, of renewable energy resources tied to the Company or to Duke Energy Carolina, LLC's North Carolina or South Carolina electric grid.

Clean Energy Environmental Attributes purchased under the Rider may be derived from any combination of different Renewable Energy Resources.

The Renewable Energy Resources will be registered with the North Carolina Renewable Energy Tracking System ("NC-RETS") to facilitate the issuance and retirement of RECs but will not be used for the Company's compliance with the North Carolina Renewable Energy/Energy Efficiency Portfolio Standard. The Company will retire the RECs and document the retirement of the carbon-emission reduction attributes on the customer's behalf pursuant to the Program.

Block of Clean Energy Environmental Attributes: For purposes of this Rider, a Block of Clean Energy Environmental Attributes shall be sized at 250 kWh, as further defined under the Monthly Rate.

MONTHLY RATE

In addition to all other charges stated in the applicable Schedule with which this Rider is used, the following charge shall also apply to each block the customer purchases:

After the North Carolina Utilities Commission's approval of the Program, the cost of CEEAs will be set annually. The market price per block of the CEEA will be based upon the then-current market rate of the tradeable market of solar RECs (not North Carolina-defined RECs), plus an administrative fee not to exceed 20% of the cost of the Clean Energy Environmental Attributes. The administrative fee will be reviewed annually beginning 12 months from Program approval to evaluate if fees collected matched the administrative expenses.

I. For residential and nonresidential customers can sign up for block sizes of 250 kWh.

The Monthly Rate shall apply to the customer's bill regardless of a customer's actual monthly kWh consumption. RECs and carbon emission reduction attributes will not be retired on a customer's behalf until payment has been received.

The Company shall display the annual calculation of the customer cost of CEEAs (and blocks of CEEAs) on its website, within the Clean Energy Impact Program webpage:

- Residential page: https://www.duke-energy.com/home/products/clean-energy-impact
- Nonresidential page: https://www.duke-energy.com/business/products/clean-energy-impact

CONTRACT PERIOD

Each customer shall purchase a specified number of blocks of CEEAs on a month-to-month basis upon the condition that either party can terminate the contract by giving at least 30 days prior notice of such termination in writing.

ELIGIBILITY

Within the last 12 months, the customer may not have:

1) Defaulted on a payment arrangement;
2) Entered into a multi-month payment arrangement;
3) Had a payment that was not honored by a financial institution; or
4) Been disconnected for non-payment of electric service.